FINANCIAL DILIGENCE SUPPORT - RECORD 007

Helioscope Robotics, Inc. - diligence file reference FINANCE_SUPPORT-007

1. Engagement scope and the periods brought into review

Scope is set out first because several of the conclusions that follow are sensitive to the period reviewed and to the extraction date of the underlying data. By agreement,, journal approval operates through a workflow field that can be left blank, and the reviewer found it blank on entries with a material aggregate value. By agreement,, management represented that the extended warranty added to one contract is immaterial as a separate performance obligation, without providing a quantification.

By reference,, access to post revenue journals extended beyond the accounting team until access rights were narrowed in July 2025. On a second read,, source data was extracted from the general ledger on 2026-07-02 and from the billing platform on 2026-07-03; extracts taken after those dates were used only to confirm subsequent settlement. In the file,, management represented that the second customer summit is discretionary; the reviewer inspected a signed venue contract dated before the cut-off. On the source, Oakhurst Parts Group contracted under HC-2104 on 2025-08-29. In substance,, hardware transfers on delivery with installation by the customer's own contractor, so the deployment obligation is limited to remote commissioning support. A June 2026 amendment brought installation back in scope for a second site at a separately negotiated fee. Commercially Oakhurst Parts Group carries contracted hardware of $1,142,800, annual subscription value of $596,400 and a deployment fee of $158,500 over 30 months. Because installation is performed by the customer, hardware transfer is earlier than in comparable contracts; the earlier transfer date was verified to the delivery receipt. Under Oakhurst Parts Group, the reviewer recorded the inquiry response and the name of the respondent alongside the document reference.

From the extract,, adjustments are presented gross with their direction stated, rather than netted, so that a reader can rebuild the measure from reported results. Against the ledger,, bank reconciliations are prepared monthly and reviewed, but three months carry unexplained items that were carried forward rather than cleared. On the record,, second-preparer reperformance was applied to one contract in each testing stream so that the testing approach itself is evidenced as reproducible. As to the facts, the population includes HC-2144 with Vantage Cold Storage, signed 2026-04-07 for 36 months and carrying contracted hardware of $1,368,700, annual subscription value of $704,500 and a deployment fee of $186,500. On the evidence,, across Vantage Cold Storage, the reviewer noted that the treatment adopted here must be applied consistently to the comparable item elsewhere in the file. Hardware, subscription and a validation obligation similar in structure to the Meridian contract but with a fixed-fee validation. No amendments; a change request for additional units was pending at the cut-off and had not been priced. For Vantage Cold Storage, this is one of the items the seller's adviser has indicated it will contest at the closing meeting. Under Vantage Cold Storage, no projection was made from this item because it arises from a single identifiable event.

In this stream,, revenue recognition decisions are made contract by contract without a standing checklist, so treatment depends on who prepared the memorandum. On reperformance,, management represented that the pending change request on one contract will be priced at list, which cannot be tested until the change is executed. Read narrowly,, the fixed asset register has not been reconciled to the general ledger, so depreciation within the earnings measure cannot be tied to asset-level records. In review, Asterion Logistics contracted under HC-2041 on 2024-02-14. In substance,, twenty-eight mobile units transfer on site acceptance, the fleet orchestration subscription runs monthly over the term, and a non-refundable commissioning fee covers eleven weeks of on-site work. On Asterion Logistics, a sensitivity was run on the principal assumption and the range is disclosed in the accompanying schedule. Commercially Asterion Logistics carries contracted hardware of $1,842,600, annual subscription value of $964,800 and a deployment fee of $214,000 over 36 months. Testing found the commissioning fee recognized on invoice rather than across the commissioning window, moving cost and revenue into different quarters. Under Asterion Logistics, the evidence was inspected in original form rather than as a management-prepared summary.

2. Normalizing the cost of delivery across the review period

The cost of delivery is analysed line by line across three periods, because a two-period comparison cannot distinguish a trend from a single-period event. On the evidence,, no financial statement for any period in scope has been

audited; FY2024 and FY2025 were subject to a review engagement and the 2026 stub has had no external involvement at all. In sequence,, fieldwork ran from 2026-06-18 to 2026-07-16 with two site visits to Fremont and one remote session with the Ontario team, and all inquiry responses are recorded with the name of the respondent.

From the extract, hardware cost includes rework and refurbishment, classified mixed. At the cut-off,, refurbishment of returned pilot units is a recurring activity, while the harness rework was campaign-driven. For rework and refurbishment the measured amounts are $96,800 in FY2024, $218,400 in FY2025 and $142,600 for the trailing twelve months to June 2026. The two components were separated using work order types before any adjustment was proposed. On Rework and refurbishment, the reviewer notes that management agreed the facts while reserving its position on the treatment. Customs duty and brokerage sits in freight and duty and moved from $142,600 to $218,400 and then to $246,900. In sequence,, duty on imported drive assemblies increased when the supplier moved production between plants in 2025. On Customs duty and brokerage, the reviewer confirmed the amount does not also sit within the working capital peg. The higher duty rate applies to the current supply arrangement and is therefore run-rate. The line is carried forward as run-rate. By reference, hardware cost includes chassis and drive assemblies, classified run-rate. In sequence,, unit cost fell about four per cent as volumes crossed the second price break with the contract manufacturer. For chassis and drive assemblies the measured amounts are $2,468,900 in FY2024, $3,842,600 in FY2025 and $4,186,400 for the trailing twelve months to June 2026. The price break is contractual and already in trailing cost; no forward-looking benefit is claimed. On Chassis and drive assemblies, the reviewer checked whether the same condition arises in the other periods reviewed and reported the result.

In review, turning to travel and per diem within the field support bucket at $386,400 in FY2024, $512,800 in FY2025 and $468,300 for the trailing twelve months to June 2026. In review,, travel cost per site fell as regional crews replaced fly-in teams for the eastern accounts. The run-rate view is run-rate. The reviewer left the trailing figure in place; the regional model is established rather than a plan. On Travel and per diem, this item was discussed with the controller on the second day of fieldwork and the explanation is recorded as given. On reperformance, a further line, scrap and yield loss within the hardware cost bucket at $118,400 in FY2024, $264,800 in FY2025 and $186,200 for the trailing twelve months to June 2026. In detail,, scrap rose during the harness campaign and during the first production run of the second-generation chassis. The run-rate view is mixed. For Scrap and yield loss, the reviewer declined to net this item against another with an opposite direction in the same period. On Scrap and yield loss, the reviewer compared the item with the equivalent balance in the prior period before reaching a view. On the record, spares and warranty includes warranty parts consumption, classified run-rate. In the file,, consumption tracks installed base and the failure rate of the current chassis rather than any single event. For warranty parts consumption the measured amounts are $246,800 in FY2024, $418,600 in FY2025 and $462,400 for the trailing twelve months to June 2026. For Warranty parts consumption, the reviewer checked whether the same condition arises in the other periods reviewed and reported the result. On Warranty parts consumption, the conclusion would change if the missing supporting document is later produced in a different form.

Quality and test engineering sits in allocated overhead and moved from $186,400 to $248,600 and then to $284,900. On inspection,, test engineering supports both production and field diagnosis and is allocated on unit throughput. On Quality and test engineering, the reviewer confirmed the amount does not also sit within the working capital peg. For Quality and test engineering, the supporting document was produced after two requests and its late arrival is noted in the register. The line is carried forward as run-rate. Per the index, hosting includes fleet telemetry compute, classified run-rate. On the balance,, compute cost scales with active units and with telemetry retention, both of which rose through the period. For fleet telemetry compute the measured amounts are $684,300 in FY2024, $1,142,800 in FY2025 and $1,386,400 for the trailing twelve months to June 2026. The reviewer treats the whole line as run-rate other than the migration overlap already isolated on the adjustment schedule. On Fleet telemetry compute, the conclusion would change if the missing supporting document is later produced in a different form. At the cut-off, within cost of sales, facilities charged to production within the allocated overhead bucket at $142,800 in FY2024, $168,400 in FY2025 and $186,200 for the trailing twelve months to June 2026. Per the register,, the production floor share of the Fremont facility is allocated on square footage and did not change. The run-rate view is run-rate. The Fremont rent abatement affects this line and is normalized on the adjustment schedule rather than here. On Facilities charged to production, the reviewer recorded that no comparable item was found in the two earlier periods examined.

Schedule 7.1 - Cost of delivery by line across three periods

Bucket	Cost line	FY2024 ($)	FY2025 ($)	LTM Jun-2026 ($)	Run-rate view	Driver
Hosting	Fleet telemetry compute	684,300	1,142,800	1,386,400	Run-rate	Compute cost scales with active units and with telemetry reten
Hosting	Object storage and retention	148,600	236,400	312,800	Run-rate	Retention was extended from ninety days to one year in mid-202
Hosting	Data egress and interconnect	62,400	118,900	96,700	Run-rate	Egress fell after the 2026 hosting renegotiation moved traffic
Field support	Deployment crew wages	1,284,600	1,846,200	2,142,900	Run-rate	Crew headcount grew from eleven to nineteen as site volume inc
Field support	Travel and per diem	386,400	512,800	468,300	Run-rate	Travel cost per site fell as regional crews replaced fly-in te
Field support	Subcontracted installation	214,800	468,900	386,200	Mixed	Subcontractors absorb peak installation demand and the mix bet
Field support	Remote operations coverage	168,200	296,400	384,600	Run-rate	Overnight remote operations cover was introduced in 2025 for c
Spares and warranty	Warranty parts consumption	246,800	418,600	462,400	Run-rate	Consumption tracks installed base and the failure rate of the
Spares and warranty	Rework campaign labour	0	142,650	0	One-time	The wrist-joint harness campaign in the third quarter of 2025
Spares and warranty	Spares pool carrying cost	84,600	128,400	146,800	Run-rate	The spares pool was enlarged when the Kadence contract introdu
Freight and duty	Inbound freight on components	318,400	462,800	428,600	Run-rate	Inbound freight rates fell in 2026 after two ocean lanes were
Freight and duty	Outbound freight to sites	268,900	386,400	411,860	Run-rate	Outbound cost follows unit volume and the geographic spread of
Freight and duty	Customs duty and brokerage	142,600	218,400	246,900	Run-rate	Duty on imported drive assemblies increased when the supplier
Hardware cost	Chassis and drive assemblies	2,468,900	3,842,600	4,186,400	Run-rate	Unit cost fell about four per cent as volumes crossed the seco
Hardware cost	Sensor and vision modules	846,200	1,268,400	1,396,800	Run-rate	A supplier change in early 2026 lowered module cost but introd
Hardware cost	Scrap and yield loss	118,400	264,800	186,200	Mixed	Scrap rose during the harness campaign and during the first pr
Hardware cost	Rework and refurbishment	96,800	218,400	142,600	Mixed	Refurbishment of returned pilot units is a

Bucket	Cost line	FY2024 ($)	FY2025 ($)	LTM Jun-2026 ($)	Run-rate view	Driver
						recurring activity,
Launch and onboarding	Layout simulation and design	168,400	286,900	342,800	Run-rate	Simulation work is now performed for every new site and is bil
Launch and onboarding	Operator training delivery	96,200	168,800	214,600	Run-rate	Training hours per site are stable; the increase follows site
Launch and onboarding	First-site engineering support	142,800	96,400	118,600	Mixed	Engineering time spent stabilizing a customer's first site dec
Launch and onboarding	Customer-specific integration build	214,600	342,800	286,400	Run-rate	Integration work with customer warehouse management systems is
Allocated overhead	Quality and test engineering	186,400	248,600	284,900	Run-rate	Test engineering supports both production and field diagnosis
Allocated overhead	Facilities charged to production	142,800	168,400	186,200	Run-rate	The production floor share of the Fremont facility is allocate
Allocated overhead	Depreciation on production tooling	96,400	142,600	168,800	Run-rate	Tooling additions for the second-generation chassis began depr

3. Unit cost, yield loss and the rework campaign

Unit economics improved during the period for reasons that are partly contractual and partly the result of a quality event that has now closed. On reperformance,, management represented that the second customer summit is discretionary; the reviewer inspected a signed venue contract dated before the cut-off. In sequence,, period attribution is decided from the document that fixes the service period, not from the invoice date, wherever the two differ.

On the balance, the trend for chassis and drive assemblies within the hardware cost bucket at $2,468,900 in FY2024, $3,842,600 in FY2025 and $4,186,400 for the trailing twelve months to June 2026. In this stream,, unit cost fell about four per cent as volumes crossed the second price break with the contract manufacturer. The run-rate view is run-rate. The price break is contractual and already in trailing cost; no forward-looking benefit is claimed. On Chassis and drive assemblies, because the item straddles two reporting periods it appears in the trend analysis twice, once in each direction. On reperformance, hosting includes data egress and interconnect, classified run-rate. In sequence,, egress fell after the 2026 hosting renegotiation moved traffic onto a committed private interconnect. For data egress and interconnect the measured amounts are $62,400 in FY2024, $118,900 in FY2025 and $96,700 for the trailing twelve months to June 2026. The lower rate is contractual from May 2026, so trailing cost overstates the forward position and the difference sits on the adjustment schedule. On Data egress and interconnect, no further procedures were considered necessary once the source document had been inspected. On testing, spares and warranty includes spares pool carrying cost, classified run-rate. In sequence,, the spares pool was enlarged when the Kadence contract introduced a contractual parts availability commitment. For spares pool carrying cost the measured amounts are $84,600 in FY2024, $128,400 in FY2025 and $146,800 for the trailing twelve months to June 2026. For Spares pool carrying cost, the item was selected for testing because of its characteristics rather than its size. On Spares pool carrying cost, the workpaper reference and the preparer's initials are recorded in the index so the step can be reperformed.

On the documents, hardware cost includes rework and refurbishment, classified mixed. Per the register,, refurbishment of returned pilot units is a recurring activity, while the harness rework was campaign-driven. For rework and refurbishment the measured amounts are $96,800 in FY2024, $218,400 in FY2025 and $142,600 for the trailing twelve months to June 2026. The two components were separated using work order types before any adjustment was proposed. On Rework and refurbishment, the reviewer noted the item for the closing meeting agenda because the seller

had not seen the analysis before fieldwork. On testing, the reviewer examined deployment crew wages within the field support bucket at $1,284,600 in FY2024, $1,846,200 in FY2025 and $2,142,900 for the trailing twelve months to June 2026. At the cut-off,, crew headcount grew from eleven to nineteen as site volume increased, with two crews added in the final quarter. The run-rate view is run-rate. The part-period effect of the final two crews is annualized rather than treated as non-recurring. On Deployment crew wages, the evidence file for this item includes an email chain that fixes the date on which the parties agreed. On inspection, launch and onboarding includes customer-specific integration build, classified run-rate. On a second read,, integration work with customer warehouse management systems is required at almost every site. For customer-specific integration build the measured amounts are $214,600 in FY2024, $342,800 in FY2025 and $286,400 for the trailing twelve months to June 2026. For Customer-specific integration build, a sensitivity was run on the principal assumption and the range is disclosed in the accompanying schedule. On Customer-specific integration build, the conclusion is stated at the low end of the supportable range, as the file convention requires.

Fleet telemetry compute sits in hosting and moved from $684,300 to $1,142,800 and then to $1,386,400. On the record,, compute cost scales with active units and with telemetry retention, both of which rose through the period. On Fleet telemetry compute, because the item straddles two reporting periods it appears in the trend analysis twice, once in each direction. The reviewer treats the whole line as run-rate other than the migration overlap already isolated on the adjustment schedule. The line is carried forward as run-rate. On its facts, the trend for outbound freight to sites within the freight and duty bucket at $268,900 in FY2024, $386,400 in FY2025 and $411,860 for the trailing twelve months to June 2026. As matters stand,, outbound cost follows unit volume and the geographic spread of new sites. The run-rate view is run-rate. No adjustment is proposed; the duplicated November 2025 accrual is dealt with separately. On Outbound freight to sites, the reviewer compared the item with the equivalent balance in the prior period before reaching a view. As to the facts, the normalization work covers scrap and yield loss within the hardware cost bucket at $118,400 in FY2024, $264,800 in FY2025 and $186,200 for the trailing twelve months to June 2026. On reperformance,, scrap rose during the harness campaign and during the first production run of the second-generation chassis. The run-rate view is mixed. For Scrap and yield loss, the reviewer notes that management agreed the facts while reserving its position on the treatment. On Scrap and yield loss, the item is cross-referenced to the corresponding entry in the information request register.

Schedule 7.2 - Adjustment schedule with reviewer disposition

Ref	Adjustment	Amount ($)	Direction	Period	Recurrence class	Proposed by	Evidence	Reviewer disposition	Accepted ($)
ADJ-01	Dependent enrollment overpayment on the medical plan	41,860	Add-back	FY2024	Non-recurring	Management	carrier invoices for February through April	Accepted	41,860
ADJ-03	Reversal of a duplicated freight accrual	27,315	Deduction	FY2025	Normalization	Diligence	the November 2025 accrual workpaper compared	Accepted	27,315
ADJ-04	Owner's vehicle and club dues	34,720	Add-back	FY2025	Normalization	Management	general ledger detail for accounts 6410 and	Reduced	22,180
ADJ-07	Cloud hosting overage during the Crestline migration	128,940	Add-back	H2-2025	Non-recurring	Management	the hosting provider's invoice detail by pro	Reduced	79,500
ADJ-08	Warranty reserve release	96,150	Deduction	FY2025	Normalization	Diligence	the warranty reserve rollforward and the fie	Accepted	96,150
ADJ-10	Deployment labour capitalized in error	213,800	Deduction	FY2025	Reclassification	Diligence	the fixed asset addition schedule	Accepted	213,800

Ref	Adjustment	Amount ($)	Direction	Period	Recurrence class	Proposed by	Evidence	Reviewer disposition	Accepted ($)
							traced to		
ADJ-11	Founder salary normalization to market	145,000	Deduction	LTM Jun-2026	Pro forma	Management	a compensation benchmark memorandum prepared	Rejected	0
ADJ-12	Rent abatement on the Fremont lease	62,400	Deduction	FY2024	Normalization	Diligence	the lease amendment dated 2024-02-08 and the	Accepted	62,400
ADJ-14	Bad debt write-off on the Dunbar Industrial receivable	154,900	Add-back	FY2024	Non-recurring	Management	the write-off approval memorandum and the cu	Reduced	118,400
ADJ-15	Unrecorded liability for the September 2025 spares purchas	71,640	Deduction	FY2025	Normalization	Diligence	the vendor statement reconciliation and the	Accepted	71,640
ADJ-16	Pro forma savings from the renegotiated hosting contract	204,000	Add-back	Q2-2026	Pro forma	Management	the executed hosting agreement dated 2026-04	Reduced	121,000
ADJ-18	Inventory obsolescence charge on the first-generation chas	267,500	Add-back	FY2024	Non-recurring	Management	the obsolescence provision workpaper and the	Reduced	168,000
ADJ-19	Customer credit issued for the Asterion availability short	118,700	Add-back	FY2025	Normalization	Management	the credit memorandum, the service level rep	Rejected	0
ADJ-20	Unfunded paid time off accrual movement	84,300	Deduction	LTM Jun-2026	Normalization	Diligence	the PTO liability rollforward and the human	Accepted	84,300
ADJ-21	Research credit recognized on a single receipt basis	96,800	Deduction	FY2025	Normalization	Diligence	the credit study, the amended return and the	Accepted	96,800
ADJ-24	Deferred revenue haircut on the Harborline pilot	62,900	Deduction	H2-2025	Normalization	Diligence	the pilot agreement, the acceptance certific	Accepted	62,900
ADJ-25	Insurance premium refund on the cancelled cargo policy	31,200	Deduction	FY2024	Non-recurring	Diligence	the broker credit advice and the policy canc	Accepted	31,200
ADJ-26	Board and advisory	78,000	Add-back	FY2025	Normalization	Management	board minutes,	Rejected	0

Ref	Adjustment	Amount ($)	Direction	Period	Recurrence class	Proposed by	Evidence	Reviewer disposition	Accepted ($)
	fees settled in cash						the advisory agreements and t		
ADJ-27	Scrap on the wrist-joint harness rework campaign	142,650	Add-back	FY2025	Non-recurring	Management	the rework work orders, the scrap ticket fil	Reduced	96,300
ADJ-28	Supplier recovery on the harness defect	88,500	Deduction	FY2025	Non-recurring	Diligence	the supplier settlement letter and the credi	Accepted	88,500
ADJ-30	Relocation and immigration cost for two senior hires	63,750	Add-back	Q1-2026	Non-recurring	Management	relocation vendor invoices and the two execu	Reduced	41,500
ADJ-32	Management fee charged by the founder holding entity	120,000	Add-back	FY2024	Normalization	Management	the intercompany invoice series and the serv	Reduced	74,000
ADJ-34	Capitalized cloud configuration cost	97,200	Deduction	FY2025	Reclassification	Diligence	the internal-use software addition schedule	Reduced	61,400
ADJ-35	Foreign exchange loss on the Ontario deployment payables	24,830	Add-back	FY2025	Normalization	Management	the currency revaluation report and the two	Rejected	0
ADJ-36	Unrecorded credit balance owed to Evergreen Warehousing	53,400	Deduction	LTM Jun-2026	Normalization	Diligence	the customer statement, the unapplied cash r	Accepted	53,400
ADJ-38	Deferred bonus accrual reversal	74,900	Deduction	FY2024	Normalization	Diligence	the bonus plan document, the accrual workpap	Accepted	74,900
ADJ-39	Legal settlement with a former contractor	112,500	Add-back	H2-2025	Non-recurring	Management	the settlement agreement, counsel's closing	Accepted	112,500
ADJ-40	Government innovation grant recognized in other income	65,000	Deduction	FY2024	Normalization	Diligence	the grant agreement, the milestone certifica	Accepted	65,000

4. Whether deployment fees cover the cost of deployment

Onboarding cost per site is the operating metric that decides whether growth in this business is self-funding, so it is analysed on its own. On the balance,, management represented that the extended warranty added to one contract is immaterial as a separate performance obligation, without providing a quantification. On inspection,, coverage of the

customer base is complete for the twenty-five largest accounts by revenue and sampled below that level, with the sampling basis stated wherever a projection is made.

Rework campaign labour sits in spares and warranty and moved from $0 to $142,650 and then to $0. Per the index,, the wrist-joint harness campaign in the third quarter of 2025 consumed crew hours outside normal service work. On Rework campaign labour, the reviewer recorded the amount as computed rather than as rounded, so the schedule footings agree. For Rework campaign labour, the reviewer noted that the treatment adopted here must be applied consistently to the comparable item elsewhere in the file. The line is carried forward as one-time. Outbound freight to sites sits in freight and duty and moved from $268,900 to $386,400 and then to $411,860. On a second read,, outbound cost follows unit volume and the geographic spread of new sites. On Outbound freight to sites, the reviewer left the amount unchanged after review but strengthened the evidence reference. No adjustment is proposed; the duplicated November 2025 accrual is dealt with separately. The line is carried forward as run-rate. In sequence, the reviewer examined customer-specific integration build within the launch and onboarding bucket at $214,600 in FY2024, $342,800 in FY2025 and $286,400 for the trailing twelve months to June 2026. Against the ledger,, integration work with customer warehouse management systems is required at almost every site. The run-rate view is run-rate. The reviewer confirmed no part of this line was capitalized after the FY2025 reclassification. On Customer-specific integration build, the reviewer confirmed the amount does not also sit within the working capital peg.

On the documents, on the same schedule, warranty parts consumption within the spares and warranty bucket at $246,800 in FY2024, $418,600 in FY2025 and $462,400 for the trailing twelve months to June 2026. On the balance,, consumption tracks installed base and the failure rate of the current chassis rather than any single event. The run-rate view is run-rate. For Warranty parts consumption, the amount was agreed to the underlying system extract without a residual difference. On Warranty parts consumption, the reviewer declined to net this item against another with an opposite direction in the same period. Depreciation on production tooling sits in allocated overhead and moved from $96,400 to $142,600 and then to $168,800. Taken alone,, tooling additions for the second-generation chassis began depreciating in the fourth quarter of 2025. On Depreciation on production tooling, the reviewer asked for the underlying system report and worked from that rather than from the extract provided. Depreciation is excluded from the earnings measure but shown here so the cost build reconciles to the ledger. The line is carried forward as run-rate. On a second read, on the same schedule, quality and test engineering within the allocated overhead bucket at $186,400 in FY2024, $248,600 in FY2025 and $284,900 for the trailing twelve months to June 2026. On its facts,, test engineering supports both production and field diagnosis and is allocated on unit throughput. The run-rate view is run-rate. For Quality and test engineering, the conclusion rests on a document produced by a third party rather than by the company. On Quality and test engineering, the conclusion rests on a document produced by a third party rather than by the company.

Spares pool carrying cost sits in spares and warranty and moved from $84,600 to $128,400 and then to $146,800. In the event,, the spares pool was enlarged when the Kadence contract introduced a contractual parts availability commitment. On Spares pool carrying cost, the evidence file for this item includes an email chain that fixes the date on which the parties agreed. The larger pool is contractual and its carrying cost does not reverse. The line is carried forward as run-rate. Fleet telemetry compute sits in hosting and moved from $684,300 to $1,142,800 and then to $1,386,400. On any view,, compute cost scales with active units and with telemetry retention, both of which rose through the period. On Fleet telemetry compute, the reviewer noted the item for the closing meeting agenda because the seller had not seen the analysis before fieldwork. For Fleet telemetry compute, the reviewer noted the item for the closing meeting agenda because the seller had not seen the analysis before fieldwork. The line is carried forward as run-rate. Inbound freight on components sits in freight and duty and moved from $318,400 to $462,800 and then to $428,600. Per the index,, inbound freight rates fell in 2026 after two ocean lanes were consolidated with a single forwarder. On Inbound freight on components, the item was selected for testing because of its characteristics rather than its size. For Inbound freight on components, the reviewer noted that the treatment adopted here must be applied consistently to the comparable item elsewhere in the file. The line is carried forward as run-rate.

Schedule 7.3 - Working capital peg sensitivity

Definition variant	Included	Excluded	Computed level ($)	Difference vs reference ($)	Comment
Trailing twelve-month average	All trade and other working capital	Cash, debt, deferred consideration	3,788,405	150,480	Presented for sensitivity only

Definition variant	Included	Excluded	Computed level ($)	Difference vs reference ($)	Comment
Trailing six-month average	All trade and other working capital	Cash, debt, deferred consideration	4,243,688	605,763	Preferred by the seller
Quarter-end average of four quarters	Trade balances only	Prepaid transaction costs	4,287,278	649,353	Presented for sensitivity only
Month-end average excluding December	All trade and other working capital	Seasonal December inventory build	3,949,953	312,028	Adopted as the reference definition
Trailing twelve months excluding deferred revenue	Trade balances and inventory	Deferred revenue, customer deposits	2,998,742	(639,183)	Preferred by the buyer
Trailing twelve months excluding unbilled	Trade balances and inventory	Unbilled receivables	3,784,314	146,389	Presented for sensitivity only
Median of trailing twelve month-ends	All trade and other working capital	Cash, debt, tax balances	3,273,465	(364,460)	Presented for sensitivity only
Latest three months average	All trade and other working capital	Cash, debt, tax balances	4,316,553	678,628	Preferred by the buyer
Trailing twelve months, revolver excluded	All trade and other working capital	Revolver borrowings	3,725,957	88,032	Not supportable without the missing count sheets
Trailing twelve months, PTO excluded	All trade and other working capital	Unfunded paid time off	3,544,666	(93,259)	Not supportable without the missing count sheets
Trailing twelve months, credits excluded	All trade and other working capital	Customer credits owed	3,128,811	(509,114)	Adopted as the reference definition
Trailing twelve months, bonus excluded	All trade and other working capital	Accrued discretionary bonus	3,190,920	(447,005)	Consistent with the draft agreement
Trailing twelve months, gross basis	All balances including intercompany	None	3,497,637	(140,288)	Presented for sensitivity only
Trailing twelve months, Ontario excluded	Parent company balances only	Ontario subsidiary balances	3,239,178	(398,747)	Preferred by the buyer
Seasonally adjusted twelve-month average	All trade and other working capital	Cash, debt, seasonal peak	3,674,432	36,507	Presented for sensitivity only
Contractual definition as drafted	As listed in the draft definition	As listed in the draft definition	3,864,349	226,424	Preferred by the seller

5. Adjustments put forward by management, item by item

The reviewer's practice is to report the proposed amount and the accepted amount side by side, because the difference between the two is the substance of the negotiation. On any view,, legal accruals rest on counsel's written estimates rather than on invoices, and the reviewer has not independently assessed the likely outcome of any matter. In sequence,, subsequent events to 2026-07-16 were reviewed only for their bearing on balances and periods within scope.

On any view, diligence proposed ADJ-10 at $213,800 for FY2025, described as deployment labour capitalized in error. On the merits,, field crew hours spent commissioning customer sites were added to internal-use software rather than expensed, understating cost of deployment services in the year the work was performed. Deployment labour capitalized in was accepted at $213,800: the timesheets identify customer sites rather than internal projects, so the cost belongs in operating results. Deployment labour capitalized in carries a recurrence judgment of reclassification, and the supporting file is the fixed asset addition schedule traced to timesheets for four deployment crews. On Deployment labour capitalized in, the reviewer notes that management agreed the facts while reserving its position on the treatment. By reference, management proposed ADJ-05 at $186,400 for FY2025, described as severance for the departed vp of operations. By agreement,, the separation payment was a single negotiated settlement and the role was refilled at a lower base salary in November 2025. Severance for the departed was accepted at $186,400: the agreement fixes both the amount and the payment dates, and the successor's offer letter supports the lower run-rate. Severance for the departed carries a recurrence judgment of non-recurring, and the supporting file is the separation agreement and the payroll register for August and September 2025. On Severance for the departed, the file records the question asked, the answer given and the document that settled it. ADJ-28 concerns supplier recovery on the harness defect and was raised by diligence as a non-recurring item. On the documents,, the supplier settled part of the rework campaign cost, and the recovery was credited to cost of

sales in the same year the scrap arose. On Supplier recovery on the, because the item straddles two reporting periods it appears in the trend analysis twice, once in each direction. Supplier recovery on the is recorded as a deduction of $88,500 in FY2025, evidenced by the supplier settlement letter and the credit applied against open payables. Supplier recovery on the was accepted at $88,500 and the reason sits on the schedule itself.

In review, diligence proposed ADJ-24 at $62,900 for H2-2025, described as deferred revenue haircut on the harborline pilot. On testing,, pilot fees were recognized on invoice rather than across the pilot period, which pulled revenue into the second half of 2025 ahead of the service delivery it paid for. Deferred revenue haircut on was accepted at $62,900 and the reason sits on the schedule itself. Deferred revenue haircut on carries a recurrence judgment of normalization, and the supporting file is the pilot agreement, the acceptance certificate and the billing extract. On Deferred revenue haircut on, because the item straddles two reporting periods it appears in the trend analysis twice, once in each direction. As matters stand, a further item, ADJ-26, Board and advisory fees settled in cash, which adds back $78,000 against FY2025 on a normalization basis. By reference,, management proposes to remove non-executive board cost on the basis that the buyer will appoint its own directors without fees. Support consists of board minutes, the advisory agreements and the payment register, and the item was put forward by management. Board and advisory fees was rejected outright and the reason sits on the schedule itself. On Board and advisory fees, the item was raised in the interim update and is carried forward unchanged into this file. On the papers, management proposed ADJ-27 at $142,650 for FY2025, described as scrap on the wrist-joint harness rework campaign. On the documents,, a supplier harness defect required rework across ninety-four units, and the scrap generated during the campaign was charged to cost of sales in the third quarter of 2025. Scrap on the wrist-joint was reduced at $96,300 and the reason sits on the schedule itself. Scrap on the wrist-joint carries a recurrence judgment of non-recurring, and the supporting file is the rework work orders, the scrap ticket file and the supplier corrective action report. On Scrap on the wrist-joint, the amount was agreed to the underlying system extract without a residual difference.

ADJ-19 concerns customer credit issued for the asterion availability shortfall and was raised by management as a normalization item. By reference,, management presents the credit as a one-off concession to preserve a strategic account. On Customer credit issued for, this item was discussed with the controller on the second day of fieldwork and the explanation is recorded as given. Customer credit issued for is recorded as a add-back of $118,700 in FY2025, evidenced by the credit memorandum, the service level report and the settlement email chain. Customer credit issued for was rejected outright and the reason sits on the schedule itself. On the record, management's workpaper presents ADJ-15, Unrecorded liability for the September 2025 spares purchase, which deducts $71,640 against FY2025 on a normalization basis. On this point,, spares received in the last week of September 2025 were not accrued and the invoice posted in October, moving cost out of the period in which the parts were consumed. Support consists of the vendor statement reconciliation and the goods receipt note, and the item was put forward by diligence. Unrecorded liability for the was accepted at $71,640 and the reason sits on the schedule itself. On Unrecorded liability for the, the direction of this item is unfavourable to the seller and it is reported on the same basis as the favourable items. ADJ-36 concerns unrecorded credit balance owed to evergreen warehousing and was raised by diligence as a normalization item. Per the index,, an overpayment received in March 2026 was recorded as revenue against an open invoice that had already been settled, so the amount is a liability to the customer rather than earnings. On Unrecorded credit balance owed, the evidence was inspected in original form rather than as a management-prepared summary. Unrecorded credit balance owed is recorded as a deduction of $53,400 in LTM Jun-2026, evidenced by the customer statement, the unapplied cash report and the account reconciliation. Unrecorded credit balance owed was accepted at $53,400: the unapplied cash report and the customer statement agree, and management issued the credit memorandum in July 2026.

6. Setting a normalized level and what it leaves out

Seasonality in this business is real and documented, which means an average-based peg and a month-end peg give materially different answers. In substance,, the chart of accounts was re-mapped in July 2025, and every trend presented here uses the later mapping applied retrospectively so that period comparisons are on a consistent basis. On the substance,, two months of Ontario subsidiary bank statements were not provided, so cash proof coverage for that entity is materially lower than for the parent and no projection was attempted across the gap.

Taken alone, the reviewer set out the arguments on payroll tax exposure - contractor classification at $168,400, provisionally classified as tax exposure. Per the index,, field contractors engaged before the February 2026 conversion

may be reclassified, creating employer tax and penalty exposure. The November 2025 settlement with a former contractor released claims and management treats the matter as closed. For Payroll tax exposure -, the reviewer noted the item for the closing meeting agenda because the seller had not seen the analysis before fieldwork. On Payroll tax exposure -, a small residual difference remains and is reported rather than described as immaterial and omitted. Cash held in the Ontario deployment subsidiary stands at $184,900. Per the index,, the balance is unrestricted and available to the group without withholding cost. On Cash held in the, no projection was made from this item because it arises from a single identifiable event. Against that, the reviewer notes intercompany settlement has historically taken six weeks, so availability is not immediate. Treated as cash; the settlement lag is noted as a timing rather than a valuation issue. Cash held in the is carried at a working classification of cash-like. Finance lease - service vehicle fleet stands at $246,800. In the file,, fourteen vehicles are held under leases that run to term with bargain purchase options. On Finance lease service, no further procedures were considered necessary once the source document had been inspected. Against that, management argues short-remaining-term vehicle leases behave like a recurring operating cost. For Finance lease service, the item was raised in the interim update and is carried forward unchanged into this file. Finance lease service is carried at a working classification of capital lease.

Unpaid transaction and success fees stands at $386,400. On the balance,, adviser fees triggered by the transaction are pre-closing obligations that the buyer would otherwise fund. On Unpaid transaction and success, the conclusion rests on a document produced by a third party rather than by the company. Against that, some engagement letters make the fee payable only on a completed transaction, which the seller argues is a seller obligation outside net debt. Treated as a seller obligation in the funds flow rather than in net debt, with the amount confirmed to the engagement letters. Unpaid transaction and success is carried at a working classification of debt-like. On inspection, turning to operating lease - fremont facility at $4,186,200, provisionally classified as operating lease. By agreement,, the recorded lease liability is a contractual obligation to pay money, which some buyers treat as debt-like. The rent is already inside EBITDA as an operating cost, so counting the liability as debt charges the same obligation twice. For Operating lease Fremont, because the item straddles two reporting periods it appears in the trend analysis twice, once in each direction. On Operating lease Fremont, no further procedures were considered necessary once the source document had been inspected. By agreement, on deferred rent incentive on the fremont lease the balance is $142,600 and the classification question is live. It represents an accounting allocation of a landlord incentive rather than money owed to anyone. In this stream,, the balance is a liability on the face of the balance sheet and reduces net assets. Excluded from net debt and from the working capital peg to avoid distorting either measure. On Deferred rent incentive on, the document inspected is dated before the cut-off, which is what makes the period attribution defensible.

On testing, a contested item is severance committed but unpaid at the measurement date at $96,800, provisionally classified as debt-like. On the evidence,, two separation agreements signed before the measurement date carry instalments falling due afterwards. Management argues the remaining instalments are contingent on continued cooperation clauses. Treated as debt-like; the cooperation clauses do not create a genuine performance condition. On Severance committed but unpaid, the evidence was inspected in original form rather than as a management-prepared summary. Accrued discretionary bonus - FY2026 plan stands at $642,800. On the papers,, the bonus relates to performance in periods before closing and would be paid by the buyer out of post-closing cash. On Accrued discretionary bonus -, the item was tested twice, once in the revenue stream and once in the balance sheet stream, with the same result. Against that, the plan is discretionary and the board has withheld payment before, most recently in December 2024. For Accrued discretionary bonus -, the reviewer confirmed the counterparty is not a related party before accepting the document at face value. Accrued discretionary bonus - is carried at a working classification of debt-like. Read narrowly, the net debt schedule carries supplier deposits paid on second-generation tooling at $312,800, provisionally classified as non-debt. Read narrowly,, the deposits are recoverable in cash if the tooling order is cancelled. They are prepayments toward capital expenditure the buyer will receive the benefit of, not a liquid asset. For Supplier deposits paid on, the item is presented gross so that a reader can rebuild the measure from reported results. On Supplier deposits paid on, the reviewer asked for the underlying system report and worked from that rather than from the extract provided.

Schedule 7.4 - Monthly working capital build

Month	Receivables ($)	Unbilled ($)	Inventory ($)	Prepaid ($)	Payables ($)	Accrued ($)	Deferred revenue ($)	Net working capital ($)
2024-06	3,184,525	1,408,149	2,365,558	767,375	(3,125,695)	(2,081,220)	(6,240,660)	(3,721,968)

Month	Receivables ($)	Unbilled ($)	Inventory ($)	Prepaid ($)	Payables ($)	Accrued ($)	Deferred revenue ($)	Net working capital ($)
2024-07	3,834,863	1,225,220	2,811,836	641,205	(2,746,946)	(1,713,949)	(6,342,301)	(2,290,072)
2024-08	6,385,699	1,221,920	2,859,757	603,786	(3,149,323)	(2,339,825)	(6,537,614)	(955,600)
2024-09	6,025,865	2,250,670	2,814,080	725,568	(1,708,490)	(1,553,139)	(6,412,614)	2,141,940
2024-10	6,785,867	1,961,400	2,012,419	403,720	(3,339,405)	(1,303,379)	(5,405,386)	1,115,236
2024-11	5,452,913	643,703	2,233,219	709,278	(2,240,822)	(1,220,169)	(4,631,877)	946,245
2024-12	4,814,557	2,252,146	2,058,645	625,724	(2,309,360)	(2,132,404)	(5,091,592)	217,716
2025-01	3,520,689	1,130,254	2,770,784	465,765	(2,103,720)	(1,492,151)	(5,092,709)	(801,088)
2025-02	5,292,903	1,664,558	2,902,422	522,556	(1,657,542)	(2,223,548)	(4,267,016)	2,234,333
2025-03	6,327,407	2,027,345	2,333,297	380,002	(1,915,940)	(1,763,161)	(4,171,696)	3,217,254
2025-04	3,592,502	1,344,381	2,547,089	604,488	(3,853,354)	(2,163,939)	(4,524,634)	(2,453,467)
2025-05	4,066,127	2,206,013	3,105,363	444,955	(3,867,198)	(1,575,421)	(5,121,055)	(741,216)
2025-06	5,363,186	749,626	2,372,011	597,010	(2,970,933)	(1,418,550)	(5,213,918)	(521,568)
2025-07	3,335,411	2,376,535	2,865,115	557,214	(1,712,965)	(1,800,087)	(4,982,334)	638,889
2025-08	3,384,486	1,683,622	3,391,969	730,364	(1,789,694)	(1,203,336)	(5,058,397)	1,139,014
2025-09	4,732,810	1,589,051	2,625,689	741,214	(2,384,623)	(2,258,806)	(5,512,373)	(467,038)
2025-10	4,145,578	733,377	2,428,987	498,481	(1,850,741)	(1,138,344)	(6,439,905)	(1,622,567)
2025-11	4,053,890	1,817,513	2,867,095	552,977	(3,676,040)	(1,328,587)	(6,824,803)	(2,537,955)
2025-12	6,692,218	2,011,324	3,059,472	733,712	(2,510,873)	(1,623,902)	(7,115,885)	1,246,066
2026-01	6,486,599	2,176,102	2,942,106	455,077	(3,648,294)	(1,222,066)	(7,699,506)	(509,982)
2026-02	3,358,029	1,205,830	2,799,317	780,315	(2,854,937)	(958,248)	(7,916,683)	(3,586,377)
2026-03	3,372,028	750,988	2,256,941	677,251	(1,716,586)	(1,773,234)	(8,111,920)	(4,544,532)
2026-04	3,249,610	905,391	3,432,918	792,101	(2,795,577)	(2,142,181)	(8,274,789)	(4,832,527)
2026-05	5,515,003	1,259,064	3,246,190	321,466	(3,937,000)	(1,713,114)	(8,839,935)	(4,148,326)

7. Contract-level working capital and its behaviour through the period

The billing profile of each contract determines whether cash arrives before or after the cost of delivery, which is what drives the monthly working capital swing. On the merits,, related-party balances were identified from the ledger and from management inquiry; no independent search for undisclosed related parties was performed. On a second read,, legal accruals rest on counsel's written estimates rather than on invoices, and the reviewer has not independently assessed the likely outcome of any matter.

On the evidence, Pinecrest Retail Services contracted under HC-2109 on 2025-09-17. On a second read,, three obligations plus an option for additional units at a discount that testing evaluated as a potential material right. On Pinecrest Retail Services, the amount was agreed to the underlying system extract without a residual difference. Commercially Pinecrest Retail Services carries contracted hardware of $1,684,500, annual subscription value of $824,200 and a deployment fee of $232,000 over 36 months. The discount was assessed as a material right; management allocated no consideration to it, and the reviewer left this as an open judgment. Under Pinecrest Retail Services, the reviewer compared the item with the equivalent balance in the prior period before reaching a view. On the balance, Westbourne Grocery contracted under HC-2150 on 2026-05-19. Per the index,, across Westbourne Grocery, the conclusion rests on a document produced by a third party rather than by the company. A short-term contract taken to test a smaller-format cell, with hardware, subscription and a minimal onboarding element. No amendments; the customer has an option to convert to a thirty-six month term at a stated price. Commercially Westbourne Grocery carries contracted hardware of $384,500, annual subscription value of $212,400 and a deployment fee of $54,000 over 18 months. The conversion option was tested and found not to be priced at a discount, so no material right arises. Under Westbourne Grocery, reperformance used the contractual rate rather than the rate management had applied. HC-2121 (Redbank Distribution) runs 48 months from 2025-11-14. On its facts,, hardware in two tranches, a subscription with a committed minimum, and a deployment obligation with liquidated damages for late go-live. Under Redbank Distribution, the reviewer recorded that no comparable item was found in the two earlier periods examined. Redbank Distribution carries contracted hardware of $2,398,400, annual subscription value of $1,186,500 and a deployment fee of $342,500 across the contracted term. On Redbank Distribution, the conclusion would change if the missing supporting document is later produced in a different form. The waived damages were not recorded as variable consideration in the periods to which they related; the amendment accounting is an open item.

At the cut-off, Evergreen Warehousing contracted under HC-2063 on 2024-09-05. On this point,, two distribution centres take hardware on acceptance, share a single subscription measured by active units, and buy an onboarding package that includes operator training. A July 2025 amendment reduced the unit count by four following a layout change and issued a partial credit against the deployment fee. Commercially Evergreen Warehousing carries contracted hardware

of $2,104,300, annual subscription value of $1,128,400 and a deployment fee of $268,500 over 36 months. An overpayment received in March 2026 was applied to revenue rather than held as a customer credit, which testing identified as an unrecorded liability. Under Evergreen Warehousing, the document inspected is dated before the cut-off, which is what makes the period attribution defensible. On the record, Blue Mesa Components contracted under HC-2047 on 2024-04-02. On the substance,, a single line replenishment cell transfers on delivery, and the subscription and remote monitoring service are billed together but delivered continuously. No modifications; the customer exercised a renewal option in April 2026 on identical terms. Commercially Blue Mesa Components carries contracted hardware of $612,400, annual subscription value of $348,000 and a deployment fee of $86,500 over 24 months. Allocation was tested and the bundled monitoring service carried no separate observable price, so management used an expected cost plus margin approach. Under Blue Mesa Components, the document inspected is dated before the cut-off, which is what makes the period attribution defensible. On the substance, the population includes HC-2173 with Brackenridge Supply, signed 2025-02-06 for 30 months and carrying contracted hardware of $1,046,700, annual subscription value of $548,300 and a deployment fee of $142,500. On the merits,, standard three-obligation structure with a twelve-month ramp on the subscription price, so billed and recognized amounts diverge through the ramp. On Brackenridge Supply, because the item straddles two reporting periods it appears in the trend analysis twice, once in each direction. For Brackenridge Supply, the reviewer confirmed the counterparty is not a related party before accepting the document at face value. Under Brackenridge Supply, the item was raised in the interim update and is carried forward unchanged into this file.

From the extract, the obligation analysis covers HC-2144 with Vantage Cold Storage, signed 2026-04-07 for 36 months and carrying contracted hardware of $1,368,700, annual subscription value of $704,500 and a deployment fee of $186,500. From the extract,, across Vantage Cold Storage, no projection was made from this item because it arises from a single identifiable event. Hardware, subscription and a validation obligation similar in structure to the Meridian contract but with a fixed-fee validation. No amendments; a change request for additional units was pending at the cut-off and had not been priced. The pending change request is disclosed as an open item because it may create variable consideration in the period after the cut-off. Under Vantage Cold Storage, the item was traced from the summary schedule through the sub-ledger to the source document. By reference, testing reached HC-2086 with Kadence Industrial Holdings, signed 2025-04-24 for 60 months and carrying contracted hardware of $4,128,700, annual subscription value of $2,046,500 and a deployment fee of $612,000. Read narrowly,, the largest contract in the population: five facilities, staged hardware transfer, a master subscription with volume tiers, and a managed deployment obligation with a dedicated crew. On Kadence Industrial Holdings, the item was selected for testing because of its characteristics rather than its size. Volume tier pricing creates variable consideration; management estimated the tier achieved rather than constraining to the minimum, and the estimate was tested against actual unit counts. Under Kadence Industrial Holdings, a sensitivity was run on the principal assumption and the range is disclosed in the accompanying schedule. On the papers, the reviewer read HC-2041 with Asterion Logistics, signed 2024-02-14 for 36 months and carrying contracted hardware of $1,842,600, annual subscription value of $964,800 and a deployment fee of $214,000. In review,, across Asterion Logistics, the conclusion is stated at the low end of the supportable range, as the file convention requires. Twenty-eight mobile units transfer on site acceptance, the fleet orchestration subscription runs monthly over the term, and a non-refundable commissioning fee covers eleven weeks of on-site work. On Asterion Logistics, the reviewer recorded that no comparable item was found in the two earlier periods examined. For Asterion Logistics, the item was selected for testing because of its characteristics rather than its size. Under Asterion Logistics, the reviewer recorded the amount as computed rather than as rounded, so the schedule footings agree.

HC-2133 (Thornbury Wholesale) runs 30 months from 2026-02-20. On the balance,, hardware, subscription and a training obligation delivered in three sessions across the first quarter of service. Under Thornbury Wholesale, the item was tested twice, once in the revenue stream and once in the balance sheet stream, with the same result. Thornbury Wholesale carries contracted hardware of $886,400, annual subscription value of $458,900 and a deployment fee of $118,500 across the contracted term. On Thornbury Wholesale, a second preparer reperformed the arithmetic and reached the same figure to the dollar. One training session had not been delivered at the cut-off but the full fee was recognized; the exception was quantified and posted. HC-2168 (Ashcombe Beverage Distribution) runs 36 months from 2024-10-30. On testing,, across Ashcombe Beverage Distribution, the reviewer's supervisor reviewed this conclusion because it rests partly on judgment. Hardware and subscription with a deployment obligation performed partly by the customer's engineering team under supervision. Under Ashcombe Beverage Distribution, because the item straddles two reporting

periods it appears in the trend analysis twice, once in each direction. Ashcombe Beverage Distribution carries contracted hardware of $1,324,600, annual subscription value of $682,900 and a deployment fee of $178,000 across the contracted term. On Ashcombe Beverage Distribution, a small residual difference remains and is reported rather than described as immaterial and omitted. The refund was recorded as a reduction of revenue in the month of payment rather than in the periods the fee had been recognized. Read narrowly, the reviewer's read of HC-2092 with Meridian Cold Chain, signed 2025-05-30 for 36 months and carrying contracted hardware of $1,486,200, annual subscription value of $742,800 and a deployment fee of $196,000. In detail,, refrigerated environment units transfer on acceptance after a thermal validation period, with a subscription and a validation services obligation. A March 2026 amendment extended the validation period by six weeks at the customer's request without additional fee. Revenue for the validation obligation was recognized before the extended validation completed; the cutoff test flagged the timing. Under Meridian Cold Chain, a second preparer reperformed the arithmetic and reached the same figure to the dollar.

Schedule 7.5 - Error projection by population

Population and period	Evidence source	Items tested	Coverage of value	Errors found	Gross error ($)	Projected effect ($)
Hardware transfer dates - FY2025	Acceptance certificates	57	48%	0	0	0
Hardware transfer dates - LTM Jun-2026	Acceptance certificates	67	68%	3	101,450	149,191
Subscription monthly recognition - FY2025	Billing extract	25	40%	6	32,097	80,242
Subscription monthly recognition - LTM Jun-2026	Billing extract	30	68%	3	151,390	222,632
Deployment milestone revenue - FY2025	Milestone certificates	40	32%	4	127,509	398,465
Deployment milestone revenue - LTM Jun-2026	Milestone certificates	43	32%	6	146,918	459,118
Training obligation delivery - FY2025	Attendance records	50	75%	0	0	0
Training obligation delivery - LTM Jun-2026	Attendance records	63	77%	6	131,262	170,470
Service credits and rebates - FY2025	Credit memoranda	70	44%	4	28,484	64,736
Service credits and rebates - LTM Jun-2026	Credit memoranda	42	37%	4	96,113	259,764

7. Contract-level working capital and its behaviour through the period - part 2 of 2

A further extract of the 7. Contract-level working capital and its behaviour through the period appears here, taken in order from the point at which the previous part ended. The parts are to be read together.

Nothing in this part varies how the 7. Contract-level working capital and its behaviour through the period was compiled, and the headings given at the start remain the operative ones. Nothing is restated from the earlier part.

Schedule 7.5 - Error projection by population (continued, part 2 of 2)

Population and period	Evidence source	Items tested	Coverage of value	Errors found	Gross error ($)	Projected effect ($)
Accounts payable cutoff - FY2025	Goods receipt notes	24	59%	5	147,060	249,254
Accounts payable cutoff - LTM Jun-2026	Goods receipt notes	27	57%	4	108,024	189,515

Population and period	Evidence source	Items tested	Coverage of value	Errors found	Gross error ($)	Projected effect ($)
Accrued liabilities completeness - FY2025	Vendor statements	50	64%	1	89,767	140,260
Accrued liabilities completeness - LTM Jun-2026	Vendor statements	46	86%	4	113,929	132,475
Manual journal entries - FY2025	Journal extract	55	67%	3	67,216	100,322
Manual journal entries - LTM Jun-2026	Journal extract	47	56%	4	25,113	44,844
Cash receipts application - FY2025	Remittance advices	25	33%	3	132,650	401,969
Cash receipts application - LTM Jun-2026	Remittance advices	42	34%	4	164,663	484,302
Unbilled receivable ageing - FY2025	Project records	23	56%	3	53,580	95,678
Unbilled receivable ageing - LTM Jun-2026	Project records	40	75%	0	0	0

8. Open items and outstanding information requests

The register below is reproduced as it stood at the date of this file, including items that have been resolved, so that the diligence trail is not rewritten. In this stream,, the reviewer worked from the statutory ledger throughout; where management's own adjustments had been posted into the ledger they were reversed before analysis rather than accepted as reported. In detail,, journal approval operates through a workflow field that can be left blank, and the reviewer found it blank on entries with a material aggregate value.

IR-115 asks for vendor statements for the ten largest suppliers. The request for vendor statements for the was raised on 2026-07-07 with the seller - accounts payable and the response is partially received, leaving the item open. For vendor statements for the, a sensitivity was run on the principal assumption and the range is disclosed in the accompanying schedule. On the papers,, accrual completeness testing coverage falls below the planned level for three suppliers. Taken alone, outstanding is IR-074, pto liability rollforward by employee band, addressed to the seller - hr director and requested on 2026-06-30; material was provided on 2026-07-10. The status is recorded as closed. By reference,, the rollforward supported both the accrual movement adjustment and the split treatment in net debt. For pto liability rollforward by, the item is retained in the file even though it does not change the conclusion, so the trail remains complete. IR-045 asks for fixed asset additions traced to underlying engineering tickets. The request for fixed asset additions traced was raised on 2026-06-24 with the seller - engineering manager and material was provided on 2026-07-06, leaving the item received - under review. For fixed asset additions traced, the workpaper reference and the preparer's initials are recorded in the index so the step can be reperformed. On the evidence,, the capitalization reclassification could change if further tickets support the treatment management applied.

IR-081 asks for inventory count sheets for the june 2026 physical count. The request for inventory count sheets for was raised on 2026-07-01 with the seller - operations and the response is partially received, leaving the item open. For inventory count sheets for, the reviewer recorded that no comparable item was found in the two earlier periods examined. Against the ledger,, count coverage of the spares pool cannot be confirmed, so inventory in the working capital peg rests on the perpetual records. IR-023 asks for state nexus opinion supporting no sales tax filings. The request for state nexus opinion supporting was raised on 2026-06-19 with the seller - tax adviser and material was provided on 2026-07-02, leaving the item received - under review. For state nexus opinion supporting, no further procedures were considered necessary once the source document had been inspected. Per the register,, the exposure remains a range until the opinion's scope is compared with the states in which field staff worked. In the file, the log shows IR-014, signed acceptance certificate for crestline site three, addressed to the seller - deployment lead and requested on 2026-06-18; nothing has been provided. The status is recorded as open. On the evidence,, without a dated certificate the transfer month rests on the

installer's log, leaving a month of hardware revenue in the wrong period. For signed acceptance certificate for, reperformance used the contractual rate rather than the rate management had applied.

IR-085 asks for commission plan documents for all sales roles. The request for commission plan documents for was raised on 2026-07-01 with the seller - sales operations and material was provided on 2026-07-08, leaving the item closed. For commission plan documents for, a small residual difference remains and is reported rather than described as immaterial and omitted. In this stream,, the plans supported the commission true-up and confirmed the accrual basis the reviewer applied. Per the workpaper, the seller - counsel holds IR-092, lease agreements and amendments for all leased premises, requested 2026-07-02. In the event,, the Fremont amendment supported the abatement normalization and the straight-line recomputation. On lease agreements and amendments, as at the date of this file material was provided on 2026-07-09 and the item is closed. For lease agreements and amendments, a small residual difference remains and is reported rather than described as immaterial and omitted. On reperformance, the seller - hr director holds IR-107, detail of the fy2026 discretionary bonus by participant, requested 2026-07-06. In the file,, the pre-closing service period allocation supporting debt-like treatment is only partly evidenced. On detail of the fy2026, as at the date of this file the response is partially received and the item is open. For detail of the fy2026, the conclusion would change if the missing supporting document is later produced in a different form.

IR-034 asks for board minutes evidencing the december 2024 bonus decision. The request for board minutes evidencing the was raised on 2026-06-20 with the seller - company secretary and material was provided on 2026-07-08, leaving the item received - insufficient. For board minutes evidencing the, the item is cross-referenced to the corresponding entry in the information request register. Per the index,, the minutes record the decision but not the plan terms, so the reviewer relies on management's representation that the bonus remained available. On a second read, still unresolved is IR-103, change request pricing for the vantage additional units, addressed to the seller - commercial and requested on 2026-07-06; nothing has been provided. The status is recorded as open. Taken alone,, variable consideration arising after the cut-off cannot be estimated, so the post-cut-off revenue trend is qualified. For change request pricing for, the workpaper reference and the preparer's initials are recorded in the index so the step can be reperformed. In the event, the register carries IR-031, standalone selling price analysis for bundled northfield contracts, addressed to the seller - revenue accountant and requested on 2026-06-20; nothing has been provided. The status is recorded as open. On the balance,, allocation for the bundled contracts cannot be independently tested, so the revenue split between obligations is unverified. For standalone selling price analysis, reperformance used the contractual rate rather than the rate management had applied.

Schedule 7.6 - Quarterly seasonality of working capital

Quarter	Site go-lives	Billings ($)	Peak NWC ($)	Trough NWC ($)	Intra-quarter swing ($)	Principal driver
2024-Q1	4	5,474,004	5,900,445	5,069,374	831,071	Hardware shipments concentrated in the final month
2024-Q2	8	4,754,954	5,819,096	4,407,868	1,411,228	Retail freeze delaying go-live dates
2024-Q3	3	6,533,049	6,824,712	6,243,913	580,799	Hardware shipments concentrated in the final month
2024-Q4	13	5,847,792	4,430,165	3,218,265	1,211,900	Deployment crew utilisation at seasonal peak
2025-Q1	8	5,091,266	4,787,541	3,454,624	1,332,917	Hardware shipments concentrated in the final month
2025-Q2	14	6,361,996	4,248,219	3,518,421	729,798	Hardware shipments concentrated in the final month
2025-Q3	12	6,902,182	5,198,735	4,277,001	921,734	Hardware shipments concentrated in the final month

Quarter	Site go-lives	Billings ($)	Peak NWC ($)	Trough NWC ($)	Intra-quarter swing ($)	Principal driver
2025-Q4	12	6,248,083	4,589,309	3,509,708	1,079,601	Customer capital budgets released early in the quarter
2026-Q1	6	5,228,308	4,546,727	3,404,150	1,142,577	Retail freeze delaying go-live dates
2026-Q2	7	4,780,962	6,157,095	4,970,660	1,186,435	Inventory build ahead of the following quarter

9. Scope limitations and matters the reviewer could not resolve

A diligence record is only useful if it is honest about its gaps, so the reviewer lists here every matter that could not be resolved within the fieldwork window. Taken alone,, each adjustment records who proposed it, because an item put forward by management and an item found in diligence carry different evidential weight. As to the facts,, the engagement is analytical and evidence-based rather than an audit, a review or an examination, and no opinion or assurance conclusion is expressed on any period or balance.

In substance,, legal accruals rest on counsel's written estimates rather than on invoices, and the reviewer has not independently assessed the likely outcome of any matter. Read narrowly,, consolidation covers the parent and the Ontario deployment subsidiary; the dormant Delaware holding entity has no activity in the period and was excluded after inspection of its trial balance. In the file,, the standalone selling price analysis supporting allocation on the bundled contracts has not been provided, and the revenue split between obligations on those contracts is therefore unverified. Per the index, the log shows IR-071, aged unbilled receivable detail with billing triggers, addressed to the seller - project accountant and requested on 2026-06-29; nothing has been provided. The status is recorded as open. By reference,, without billing triggers the reviewer cannot distinguish unbilled amounts awaiting a milestone from those awaiting customer sign-off. For aged unbilled receivable detail, the reviewer notes that management agreed the facts while reserving its position on the treatment.

Read narrowly,, approver fields are blank on a subset of journal entries, which prevents any conclusion on the operation of the journal approval control during the affected periods. As to the facts,, management prepares monthly reporting on a basis that differs from the statutory ledger in three respects, each of which is identified and removed before any analysis begins. On the documents,, source data was extracted from the general ledger on 2026-07-02 and from the billing platform on 2026-07-03; extracts taken after those dates were used only to confirm subsequent settlement. In this stream, the log shows IR-063, contractor conversion offer letters and prior agency rates, addressed to the seller - hr director and requested on 2026-06-26; material was provided on 2026-07-07. The status is recorded as received - under review. By agreement,, employer tax and benefit loading on the converted population is still being confirmed, which affects the size of the run-rate deduction. For contractor conversion offer letters, the reviewer left the amount unchanged after review but strengthened the evidence reference.

Per the index,, management represented that the pending change request on one contract will be priced at list, which cannot be tested until the change is executed. In this stream,, management represented that no bonus was payable for FY2024 following a board decision, and the minutes provided record the decision but not the terms of the plan itself. In the event,, management represented that the spares pool is fully counted, although the count sheets provided cover only part of the pool. On the evidence, the seller - revenue accountant holds IR-088, analysis of the pinecrest option pricing against list, requested 2026-07-02. On this point,, the material right judgment stays open, and any allocation to the option would move revenue between periods. On analysis of the pinecrest, as at the date of this file nothing has been provided and the item is open. For analysis of the pinecrest, the reviewer recorded the amount as computed rather than as rounded, so the schedule footings agree.

In the file,, access to post revenue journals extended beyond the accounting team until access rights were narrowed in July 2025. As to the facts,, where an exception is identified, the reviewer states the population, the value tested, the coverage achieved and the projected effect before proposing any adjustment. On the documents,, management represented that no undisclosed related-party arrangements exist beyond the sublease and the management fee identified in the ledger. IR-111 asks for support for the liquidated damages waiver on redbank. The request for support for the liquidated was

raised on 2026-07-07 with the seller - commercial and material was provided on 2026-07-13, leaving the item received - under review. For support for the liquidated, the supporting document was produced after two requests and its late arrival is noted in the register. On the evidence,, the amendment accounting remains open, and both the accrual and the waiver may move between periods.

This entry in the working file records why two schedules that look inconsistent are in fact measuring different things. Dependent enrollment overpayment on and the unapproved manual entry entry recorded as JE-25-0388 arise from the same underlying facts. On Dependent enrollment overpayment on, the charge arose from a dependent-enrollment error the carrier corrected in April 2024, and no comparable charge appears in the twenty-six months since. For the unapproved manual entry entry, penalty interest on the equipment facility was reclassified from interest expense to other expense without approval. Dependent enrollment overpayment on is reported at $41,860 and the entry at $18,460, so neither is counted twice.

The following observation was carried forward from the interim update because it explains a figure a reader may query. Unfunded paid time off sits alongside the position the reviewer took on Trade show and customer. On Unfunded paid time off, the counter is that the liability is stable, self-renewing, and behaves like a permanent feature of working capital. Turning to Trade show and customer, a second summit was contracted for October 2026 before the diligence cut-off, which makes the cost recurring in substance. Unfunded paid time off is carried at $468,900 while the adjustment accepted on Trade show and customer was $0.